

S03-L5 — The Fine Print: Taxes, Logistics, and Art as an Asset

Summary

A sale does not end the moment a price is accepted. A layer of tax and logistical rules determines how much a New York transaction actually ends up costing in practice, and that layer tends to stay out of the sales conversation until a problem appears. This note describes the criterion New York State uses to decide whether sales tax applies, works out the concrete cost of a Manhattan transaction, explains the freeport regime and its legitimate limits, and closes with the available data on art as a financial asset, both as loan collateral and in its historical performance against other instruments.

1. The destination rule

[New York State's general sales tax rate is 4%](#), and the combined rate applicable within New York City comes to 8.875%, made up of the 4% state rate, a 4.5% city rate, and an additional 0.375% for the Metropolitan Commuter Transportation District (MCTD).¹ The state applies what is known as a destination approach, a test under which the point where the seller delivers the property or transfers possession to the buyer, or to whoever the buyer designates, is central to determining both whether tax is owed and at what rate.² An [advisory opinion issued by New York's own tax agency in 2024](#) reaffirms that the burden of proving delivery occurred outside New York falls on whoever claims that status.² The practical consequence is that the buyer's home address, citizenship, or intended final destination for the work do not by themselves determine the tax treatment, what matters is where and how the delivery is documented.

2. Running the numbers in Manhattan

On a hypothetical USD 100,000 purchase delivered and documented in Manhattan, the combined 8.875% rate generates USD 8,875 in sales tax, on top of the purchase price.¹ If, instead, the auction house or gallery arranges and documents direct shipment to another state, the transaction may fall outside the reach of New York sales tax, though the destination state may apply its own sales or use tax, and the selling house may be obligated to collect it if it maintains

sufficient nexus in that jurisdiction.² [Sotheby's explicitly documents this destination-collection practice](#) within its conditions of sale for buyers.²

3. Use tax and the resale certificate

A purchase made outside New York that is later used within the state can trigger use tax, with a reciprocal credit available when a valid sales or use tax has already been paid to another jurisdiction.³ A separate mechanism, intended for acquisitions genuinely made for resale, is [Form ST-120, the resale certificate](#), revised in January 2026, which exempts the purchase from sales tax at the time of sale on the condition that the transaction is genuinely a documented resale. If whoever signs that certificate later withdraws the work from resale inventory for personal use, a use tax obligation can still arise.³ Neither mechanism should be presented to a client as an automatic tax-saving route without a tax advisor reviewing the specific transaction.

4. Freeports, custody under customs control

Freeports, foreign-trade zones, and bonded customs warehouses serve legitimate functions of secure storage and logistical consolidation before a work enters U.S. customs territory, or while it remains under a specific customs regime.⁴ Under that regime, import duties can be deferred while the goods remain under customs control, and the treatment changes once the work enters domestic consumption or is re-exported.⁴ The U.S. Treasury Department has itself noted that these facilities offer legitimate security, insurance-efficiency, and logistical or tax-planning benefits, but that the privacy that characterizes them, ownership transfers that take place within storage, and intermediary structures can also create money-laundering and sanctions risks that authorities monitor.⁵ Hiding the identity of a work's true owner or misstating its value or destination is not legitimate tax planning, it is a compliance failure that calls for immediate legal review.

5. Art as a financial asset

Lending secured by art and other collectibles reached an estimated size of [between USD 33.9 billion and USD 40.0 billion by the end of 2025](#), according to the ninth Art & Finance report from Deloitte Private and ArtTactic, up from a range of USD 29.0 to 34.1 billion estimated for the end of 2023.⁶ The same report compares the historical performance of the Artnet Fine Art Top 100 index against the S&P 500, finding an annualized return of just 3.2% over twenty years for the art index, against 10.4% for the stock index over the same horizon, with an even wider gap at ten years.⁶ The recommended reading for a client who starts talking about art as an investment has two parts, the market for lending

secured by collections is real and growing, which supports legitimate conversations about liquidity without needing to sell, while an expectation of capital appreciation comparable to other financial assets finds no support in the available indices and should be presented with that caveat.

For the conversation with clients

Facing a question about the total cost of moving a work outside the saleroom, it is worth explaining that New York tax depends on the documented place of delivery, not the buyer's home address, and that shipping out of state can trigger a tax obligation in another jurisdiction instead. Facing a question about freeports, it should be made clear that no such facility makes a deal automatically tax free, and that the work's subsequent use determines the treatment. Facing a question about art as an investment, it is worth separating two distinct issues, financing with the collection as collateral, which is a growing and well-documented use, and the expectation of appreciation, which the market's own track record does not support as strongly as other assets.

References

1. New York State Department of Taxation and Finance, "[Find sales tax rates](#)", accessed 2026-08-08. [↵↵](#)
2. New York State Department of Taxation and Finance, "[Advisory Opinion TSB-A-24\(1\)C.\(11\)S](#)", accessed 2026-08-08; Sotheby's, "[Guide for Buyers, VAT and Other Tax Information](#)", accessed 2026-08-08. [↵↵↵↵](#)
3. New York State Department of Taxation and Finance, "[Use Tax for Businesses](#)" and "[Form ST-120 Resale Certificate](#)", accessed 2026-08-08. [↵↵](#)
4. U.S. Customs and Border Protection, "[What is a Customs Bonded Warehouse?](#)", accessed 2026-08-08. [↵↵](#)
5. U.S. Department of the Treasury, "[Study of the Facilitation of Money Laundering and Terror Finance Through the Trade in Works of Art](#)", accessed 2026-08-08. [↵](#)
6. Deloitte Private and ArtTactic, "[Art & Finance Report 2025](#)", ninth edition, accessed 2026-08-08. [↵↵](#)